Shareholders Versus Stakeholders

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Internal and external stakeholders

- Stakeholders are individuals or groups that **affect or are affected by the actions of a business**
  - A business needs to take into account the **needs and interests of its stakeholders** in order to operate successfully and ensure long-term success
- **Internal stakeholders** are individuals or groups **inside** the business:
  - Employees
  - Managers and directors
  - Business owners
- **External stakeholders** are individuals or groups outside of a business:
  - Customers
  - Shareholders
  - Creditors
  - Suppliers
  - The local community
  - Local and national government
  - Pressure groups

Stakeholder objectives

- Stakeholders can have **different objectives** based on their different roles and perspectives
- A business needs to take into account the **needs and interests of its stakeholders** in order to operate successfully and **ensure long-term success**

The different objectives of internal stakeholders

Stakeholder	Objective	Example
Owners	• Owners may be **sole traders**, a	• The owner of a small building

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Got it

	a private limited company • Owners are likely to work within the business as well as own it and so will be relying on the business to **provide an income** • They will want all or a **share of the profit** and will want the business to **succeed**	**and income**: ○ The owner may also have the aim of **passing the business on** to a family member on retirement
Employees	• Employees are individuals who work for a company • Their primary objective is to earn a living, have **job security**, **be compensated fairly** for their work and have a safe working environment	• Google employees in California have some of the **best working conditions in the world**, with the company offering sleeping pods, games rooms and free specialty coffee all day
Management	• Managers are individuals who are responsible for the day-to-day operations of a company • Their primary objective is to **meet the company's goals and objectives** • They want to maximise profits and minimise costs while ensuring that the company operates efficiently	• A manager of a McDonald's outlet may want the restaurant to **increase sales and reduce costs** by improving **efficiency**

The different objectives of external stakeholders

Customers	• Customers are individuals or businesses who purchase goods/services from a business • Their primary objective is to **receive high-quality products or services at a fair price** • Customers also want good customer service and a positive experience with the company	• A customer of Nike may want the company to provide high-quality shoes at a reasonable price and to **deal promptly with any customer concern issues**
Shareholders	• Shareholders are individuals or entities who **own a portion of a company's stock** • They invest in the company with the goal of making a profit • Shareholders' **primary objective** is to **maximise their returns** on investment • They want the company to be profitable and **generate a high return** on their investment	• A shareholder of Apple may want the company to release new products and increase sales **to increase the value of their shares**
Suppliers and creditors	• Suppliers and creditors are likely to be one and the same • Their primary objective is for the business to **pay what it owes** promptly and in full • Suppliers often want to be able to **establish long-term arrangements** with customers to improve business stability	• An egg supplier is likely to value a long-term supply contract with a leading supermarket, even if the price it receives for its eggs is low because **sales are guaranteed**

Help me understand

	include individuals and organisations that live or operate in the area where a business operates • Their primary objective is **for the business to have a positive impact** on the community: ○ This may include the business being environmentally responsible, providing jobs and **contributing to local causes**	Leaks Ltd **(Bank of Dave)** donates all of its profits to local charities and good causes
Local and national government	• The government is responsible for creating and enforcing laws and regulations that affect businesses • Its primary objective is to **promote the public good and protect the interests of citizens** • The government wants companies to operate within the law and contribute to the economy	• The government may want a **company to pay taxes**, comply with environmenta regulations and create jobs
Pressure groups	• Pressure groups are organisations that seek to **influence the policies and actions of businesses** or governments • Their primary objective is to promote a **specific cause or agenda** • Pressure groups want companies to support their cause or take action on an issue	• An animal rights group may want a clothing company to **stop using animal products** in their clothing

shareholder influences

- A business can take a **shareholder approach** or a **stakeholder approach** in its business strategy
- A stakeholder approach focuses on **interdependencies between stakeholder groups** and takes steps to ensure that the **benefits and drawbacks** of its operations are **shared equally** among them
  - This is **likely to decrease profits** as competing stakeholder needs may require solutions that involve **increased costs** (e.g. meeting employees' needs by paying higher wages will increase salary costs)

- The shareholder approach has often been used by large corporations, and it is focused on **meeting the needs of shareholders**, i.e.:
  - **Maximising profits** in order to **increase dividends** and improve the **share price**

The "Stakeholder Approach"

- Increased **media scrutiny** of business operations has meant that it has become good business practice to be **socially responsible**
  - A business that adopts a stakeholder approach:
    - Recognises the impact it has on a range of stakeholder groups
    - Understands the impacts stakeholder groups can have on its operations
    - **Communicates** effectively with stakeholder groups
    - Tries to **minimise the negative impacts** of business operations on stakeholder groups where possible

The influence on stakeholders and by stakeholders

Examples of business influences on stakeholders	Examples of stakeholder influences on businesses
• If a business **experiences financial difficulties**, shareholders may lose value in their investments and employees may face job losses or pay cuts • If a business is **profitable**, shareholders may benefit from increased dividends and employees may receive bonuses or promotions • Customers can be affected by business activity in terms of **product availability**, quality and pricing • The local community can be impacted by the	• Customers can **influence product development and pricing** through their purchasing decisions and feedback • Employees can impact business activity through their **productivity**, skills and job satisfaction • Shareholders can impact business activity through their investment decisions and **demands for returns** • The local community can impact business

pollution or job creation • The government can be affected by business activity in terms of **tax revenue** and **regulatory compliance** (following the laws)	**council)** and social pressure • Pressure groups can impact business activity by lobbying for changes in policy or **boycotting products** • The government can impact business activity through taxes, regulations (laws) and **subsidies**

The potential for conflict between stakeholders and shareholders

- There is significant potential for conflict between different **stakeholders within a business and the shareholders**

Shareholder conflict	Explanation	Example
Shareholders and employees	• Shareholders aim to **maximise the return on their investment**, which usually requires the business to make as much profit as possible • Employees aim for **higher wages and better conditions**, which is likely to increase costs and reduce profits	• In 2022, UK postal workers were engaged in strike action against their employer, Royal Mail, as they objected to a range of changes being made to their **pay and working conditions** that were intended to boost profits

	good customer service • As shareholders demand high profits to achieve maximum dividends, there is pressure on businesses to **raise prices**	concerned that record-breaking shareholder dividends in 2022 occurred at the same time as **consumer prices rose by more than 60%**
Shareholders and management	• Management aims to **run the business effectively** and ensure it pleases its shareholders • Management may recommend the decision to retain profits to **invest and grow the business** rather than distribute the profits to shareholders as dividends	• In early 2023, large numbers of shareholders of Boohoo voted against **management plans to boost executive pay** at the same time that dividends fell by 85%
Shareholders and governments	• Governments want businesses to **create good-quality jobs** while complying with laws and tax contributions • Shareholders are less interested in job creation and **more interested in profit maximisation**	• Large corporations such as Amazon and Shell have been accused of **tax avoidance** through the offshoring of profit, reducing the amount of corporation tax paid to the UK government

Examiner Tips and Tricks

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objectives, product, situation).

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